Budget 2021–22

Budget 2021–22 is Smaller than RE2020–21

Total expenditure through the Budget of the Government of India in RE20–21 is Rs 34.50 lakh crore. Total expenditure through the Budget for BE21–22 is Rs 34.83 lakh crore. It represents an increase of Rs 33,000 crore in Budget expenditure. As there are no off-budget public expenditures proposed either in the RE20–21 or the BE21–22, the door-to-door increase in the budgetary outlay for 2021–22 over RE2020–21 amounts to a princely 96 per cent. This certainly is no budgetary expenditure push.

Public expenditure through resources of public enterprises is Rs 6.45 lakh crore in RE20–21 and Rs 5.83 lakh crore in BE21–22. There is a reduction of Rs 62,000 crore in the resources of public enterprises for the year 2021–22, which largely represents capital expenditure through the public sector and public authorities. This reduction amounts to 9.6 per cent.

Total Central government expenditure through budgetary resources and the resources of public enterprises is slated to go down from Rs 40.96 lakh crore in RE20–21 to Rs 40.66 lakh crore in BE21–22, which represents an absolute decrease in the nominal levels of expenditure. It is no comfort that the reduction is less than 1 per cent.

At the aggregate level, there is no planned/budgeted fiscal expansion in 2021–22.

Capital Expenditure in Budget 2021–22

In her Budget speech, the finance minister highlighted a massive increase in the capital expenditure budget estimates of year 2021–22 by comparing it with the budget estimates of the year 2020–21. She claimed that the capital expenditure in the 2021–22 Budget had expanded to Rs 5.54 lakh crore